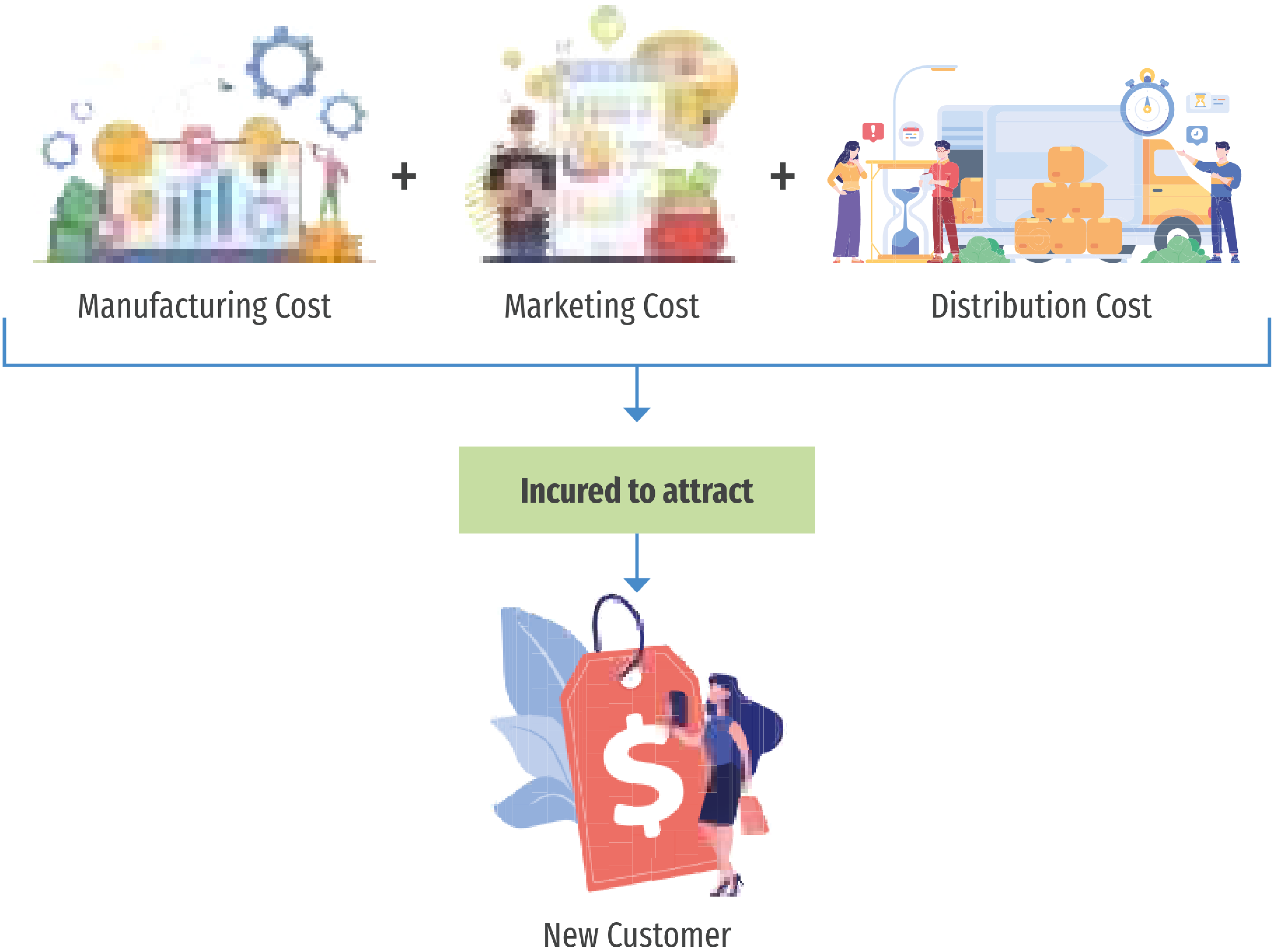
Customer Acquisition Cost (CAC)

It is the total expense incurred by one business to acquire one new customer. This includes costs associated with manufacturing, marketing, and distribution that aim to attract and convert potential customers into paying clients.



Customer Lifetime Value (CLTV)

It measures the average revenue that a company can expect to generate from a customer throughout their entire business. For startups, understanding CLTV is crucial, as it provides insights into the long-term revenue potential of acquiring and retaining customers. If they have a high retention rate, they can have a high CLTV, as loyal customers tend to make repeated purchases.